Balance Sheet as on 31st March 2019

Liabilities		₹	Assets	₹
Capital accounts:			Buildings	40,000
Oviya	50,000		Plant	50,000
Kavya	40,000	90,000	Furniture	30,000
Profit and loss appropriation A/c		40,000	Debtors	20,000
General reserve		8,000	Stock	10,000
Workmen's compensation fund		12,000	Cash	20,000
Sundry creditors		20,000		
		1,70,000		1,70,000

Pass journal entry to transfer the accumulated profits and reserve on admission.

(Answer: Oviya: ₹ 37,500; Kavya: ₹ 22,500)

Revaluation of assets and liabilities

4. Hari, Madhavan and Kesavan are partners, sharing profits and losses in the ratio of 5:3:2. As from 1st April 2017, Vanmathi is admitted into the partnership and the new profit sharing ratio is decided as 4:3:2:1. The following adjustments are to be made.

(a) Increase the value of premises by ₹ 60,000.

(b) Depreciate stock by ₹ 5,000, furniture by ₹ 2,000 and machinery by ₹ 2,500.

(c) Provide for an outstanding liability of ₹ 500.

Pass journal entries and prepare revaluation account.

(Answer: Revaluation profit: ₹ 50,000)

5. Seenu and Siva are partners sharing profits and losses in the ratio of 5:3. In the view of Kowsalya admission, they decided

(a) To increase the value of building by ₹ 40,000.
(b) To bring into record investments at ₹ 10,000, which have not so far been brought into account.
(c) To decrease the value of machinery by ₹ 14,000 and furniture by ₹ 12,000.
(d) To write off sundry creditors by ₹ 16,000.

Pass journal entries and prepare revaluation account.

(Answer: Revaluation profit: ₹ 40,000)

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